OCAD - ONE COMPANY A DAY

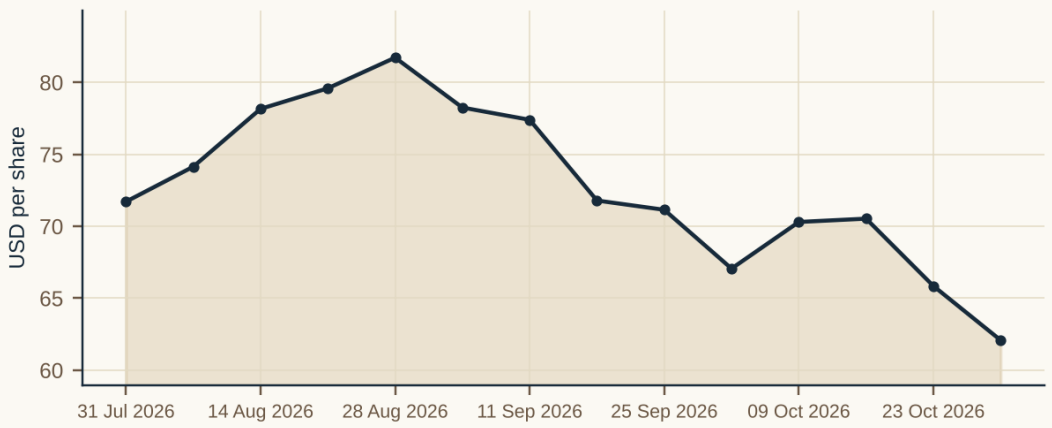
SERIES: TELECOMMUNICATIONS AND MEDIA

Netflix, Inc.

NFLX | NASDAQ

USD 62.08 per share

Closing price, Friday 30 October 2026, latest completed trading day



NFLX weekly closing price, 31 July 2026 to 30 October 2026, USD per share, split adjusted. Source: Alpha Vantage, adjusted weekly time series.

REPORT DATE	ANALYST	SERIES	EXCHANGE
30 October 2026	Arthur Faugeron	Telecommunications and Media	NASDAQ

Executive Summary

Netflix runs one of the most profitable operating models in global media: a 31.3% trailing operating margin on USD 49.7 bn of revenue. The shares closed at USD 62.08 on 30 October 2026, 43.3% below the level of a year earlier, while reported operating income grew 37% in the third quarter. The market is therefore pricing a deceleration in growth and a heavier cost of sustaining it, not a deterioration in current profitability.

Business

Netflix sells monthly streaming subscriptions and, increasingly, advertising on a lower-priced plan, in one global segment spanning more than 190 countries. Revenue in the third quarter of 2026 was USD 12.87 bn, split UCAN 43.7%, EMEA 31.9%, LATAM 12.5% and APAC 11.9%. Content is produced and licensed centrally and amortized against a fixed cost base that grows more slowly than revenue.

Financial Condition

Trailing twelve-month revenue is USD 49.7 bn (growth 14.7%), operating income USD 15.6 bn (31.3% margin), and net income USD 14.8 bn, which includes a USD 2.8 bn termination fee received in the first quarter of 2026. Operating cash flow was USD 12.3 bn and free cash flow USD 11.4 bn over the same period. Net debt is USD 7.1 bn against USD 15.1 bn of gross debt, equal to 0.46 times trailing operating income.

Market Position

The company competes for viewing time with YouTube (15.8% of US television time in August 2026 against Netflix at 7.7%), Amazon Prime Video, Disney, and the combined Paramount and Warner Bros. assets. Its edge is scale: a content budget of roughly USD 20 bn a year is spread over the largest paying audience, and its operating margin of 31.3% is about twice that of Disney (15.6%). The weakness is saturation in mature regions and a younger advertising business that management cut to about USD 2.7 bn for 2026 from roughly USD 3.0 bn.

Valuation

At USD 62.08 the equity is valued at USD 255 bn and the enterprise at USD 262 bn. The trailing price to earnings ratio is 17.9 times (about 21 times excluding the termination fee, an analyst estimate), enterprise value to trailing operating income 16.8 times, and price to free cash flow 22.4 times, a trailing free cash flow yield of 4.5%.

Investment Framework

WHAT IS ATTRACTIVE	Operating margin rose from 17.8% in FY2022 to 29.5% in FY2025 and 33.5% in the first nine months of 2026; free cash flow reached USD 9.5 bn in FY2025; the share count is falling as buybacks reached USD 10.8 bn in nine months.
WHAT IS CONCERNING	Revenue growth slowed from 17.6% in Q4 2025 to 11.8% in Q3 2026; fourth quarter margin is guided to 26.0%; 2026 free cash flow guidance was cut to USD 12.0 bn; the share price has fallen 43.3% in twelve months.
WHAT MUST GO RIGHT	Revenue growth must stay near 10 percent through 2030 while the operating margin keeps moving toward 35 percent, and cash content spend must converge toward amortization.
WHAT COULD BREAK THE THESIS	A further step down in growth toward mid single digits, a sustained rise in the cash content to amortization ratio above 1.1 times, or advertising failing to scale.
PRICED IN	The market price of USD 62.08 sits close to the base DCF value of USD 65.5 and implies revenue growth about 1.2 points a year lower than the base path, or a discount rate near 9.3%.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High. One-segment subscription model with 52.2% nine-month gross margin and 33.5% operating margin.
Financial quality	High. Free cash flow of USD 9.5 bn in FY2025 equals 86% of net income; interest cover of 17 times.
Competitive position	Strong. Largest paid streaming audience and global content scale, but attention is shared with YouTube.
Growth profile	Moderating. Revenue growth 11.8% in Q3 2026 versus 17.2% a year earlier.
Balance-sheet risk	Low. Net debt 0.46 times operating income; USD 3 bn revolver undrawn at FY2025 year end.
Valuation	Neutral to reasonable. Close to the base DCF, with a wide range of USD 39 to USD 98.
Market and technical profile	Weak trend. Price below 10 and 40 week averages, RSI 31.6, at a 52-week low.

Source: analyst assessment based on the data in sections B and C of this report.

A. About the Business

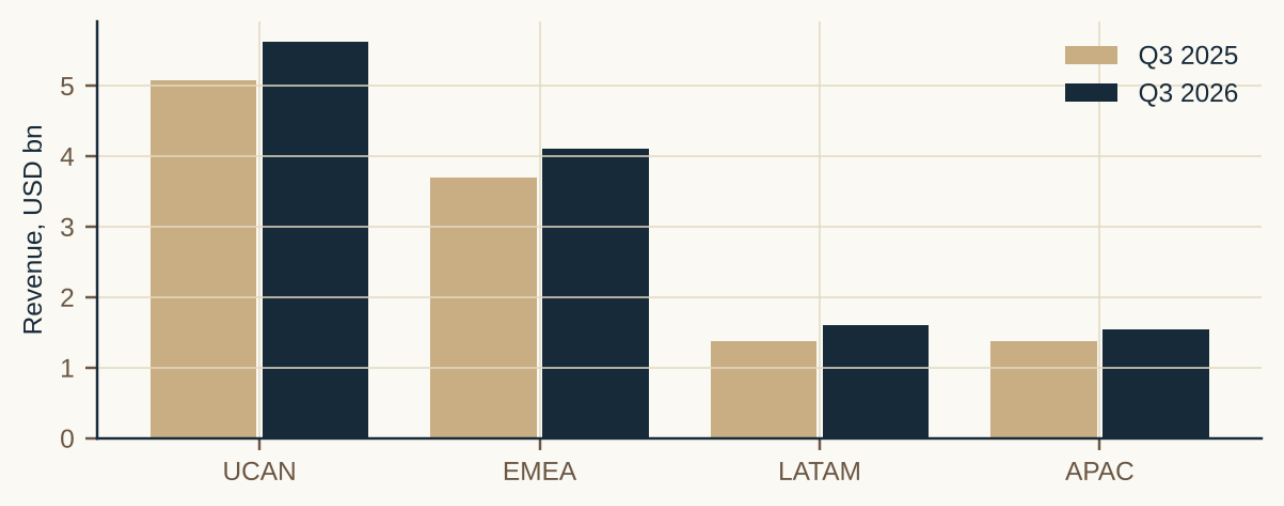
A1. Business Environment

Netflix operates in subscription and advertising-supported premium video, which sits between traditional pay television and the wider market for attention that includes user-generated video, games and social media. The value chain runs from content creation (writers, producers, studios and sports and live-event rights holders), through packaging and technology (recommendation, encoding, a global delivery network), to distribution over broadband and mobile networks owned by third parties, to a consumer who pays a monthly fee or accepts advertising. Value is captured by the owner of the customer relationship and the scale of the content library, not by the network.

The principal revenue pools are subscription fees and advertising. The principal cost pool is content, which Netflix reports as cost of revenues: USD 18.0 bn in the first nine months of 2026 against USD 37.7 bn of revenue. Content has a high fixed element: spending is committed years ahead and cannot be reduced when subscriber growth slows, which creates operating leverage on the way up and margin pressure when growth falls. Capital intensity outside content is low: capital expenditure was USD 688 m in FY2025, 1.5% of revenue.

Industry structure is concentrated at the top. Nielsen's Gauge for August 2026 shows YouTube at 15.8% of US television time, the largest share on record, and Netflix second at 7.7%, with streaming as a whole close to half of television usage. Cyclicality is limited because subscriptions are low-cost recurring spending, but advertising is cyclical and live sports and event rights are inflating costs. Regulation covers content quotas and local taxation in Europe and India and labor agreements with Hollywood guilds: the writers' agreement expired on 1 May 2026 and the actors' and directors' agreements on 30 June 2026 according to the FY2025 annual report.

Quarterly revenue by region, Q3 2025 against Q3 2026



Source: Netflix Q3 2026 shareholder letter (Form 8-K, Exhibit 99.1). Units: USD bn.

INDUSTRY STAGE: MATURE AND CONSOLIDATING AT THE TOP, STILL GROWING IN ADVERTISING AND EMERGING MARKETS

> Global streaming has passed the stage of rapid user acquisition in the United States and Canada, where Netflix grew revenue 11% in Q3 2026. Growth now comes from price, advertising, paid sharing and emerging regions such as India, where view hours rose 24% year on year. The industry is consolidating through mergers among legacy studios, and is structurally transforming as video platforms compete for the same hours of attention.

A2. What Does the Company Do?

Netflix runs a single global streaming service. A customer pays a monthly fee for one of several plan tiers, or watches a lower-priced tier that carries advertising, and receives access to licensed and original series, films, documentaries, live programming and games. The company reports one operating segment. Subscription revenue is recurring and billed monthly, with prices set by country and revised periodically; advertising revenue is sold through the company's own advertising technology and is smaller, guided at about USD 2.7 bn for 2026 or roughly 5% of revenue. Distribution is through the app on smart televisions, phones and computers, with partnerships with device makers and mobile and broadband operators for billing and bundles.

The main operating costs are content amortization (USD 12.8 bn in nine months of 2026), marketing (USD 2.5 bn), technology and development (USD 3.0 bn) and general and administrative (USD 1.6 bn). The company disclosed about 16,000 full-time employees at the end of 2025 and announced a reduction of roughly 6% of the workforce on 14 October 2026. Cash spent on content additions was USD 14.9 bn in nine months, 1.17 times amortization, so reported margins currently run ahead of cash margins.

How one dollar of revenue is used

Using nine-month 2026 figures, each dollar of revenue funds 47.8 cents of cost of revenues, 6.6 cents of marketing, 8.0 cents of technology and development and 4.2 cents of general and administration, leaving 33.5 cents of operating income. Interest, tax and the one-off fee then take net income to 32.8 cents.

1. CUSTOMER
Households in more than 190 countries on standard, premium and advertising plans

2. PRODUCT AND SERVICE
Streaming of series, films, live events and games on one app

3. REVENUE
USD 37.7 bn in nine months of 2026, of which UCAN 43.7% in Q3

4. COSTS
Cost of revenues 47.8 cents, sales and marketing 6.6, technology 8.0, administration 4.2

5. OPERATING PROFIT
USD 12.6 bn, a 33.5% margin

6. CASH FLOW
Operating cash flow USD 10.2 bn, free cash flow USD 9.5 bn

7. CAPITAL ALLOCATION
Buybacks USD 10.8 bn, acquisitions USD 0.6 bn, capital expenditure USD 0.7 bn

The economically decisive part of the model is the relationship between content cash spend and subscription revenue. A one point change in the cash content to amortization ratio on roughly USD 20 bn of content additions moves free cash flow by about USD 0.2 bn, while a one point change in revenue growth moves operating income by more than that because most costs are fixed.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Subscribers and advertisers	Households pay monthly; advertisers buy inventory on the ad-supported plan	Subscription fees are the revenue base; advertising is the incremental growth option, currently about USD 2.7 bn.
Content creators and studios	Original productions, licensed titles, live events	Content is the largest cost; USD 25.2 bn of streaming content obligations at 30 September 2026.
Amazon Web Services	Cloud infrastructure for the service	The FY2025 annual report names dependence on this provider as a risk factor.
Device and network partners	Smart television makers, mobile and broadband operators, app stores	Control access to the customer and the billing relationship.
Lenders and bondholders	Senior notes of about USD 14.5 bn plus a USD 3 bn revolver	Debt of USD 15.1 bn at 30 September 2026, with a USD 1 bn bond issued in Q3 to refinance a Q4 maturity.
Shareholders and board	Institutions own 84.3%; insiders 0.6%; Jay Hoag chairs the board since June 2026	Ownership is dispersed; buybacks are the main capital return.
Competitors	YouTube, Amazon, Disney, Paramount and Warner Bros. assets, Spotify in audio and video	Compete for viewing time, talent and sports rights.

Source: Netflix Form 10-K for fiscal 2025; Netflix Q3 2026 shareholder letter; StockAnalysis.com, 27 October 2026; MarketScreener governance page.

A4. Competition

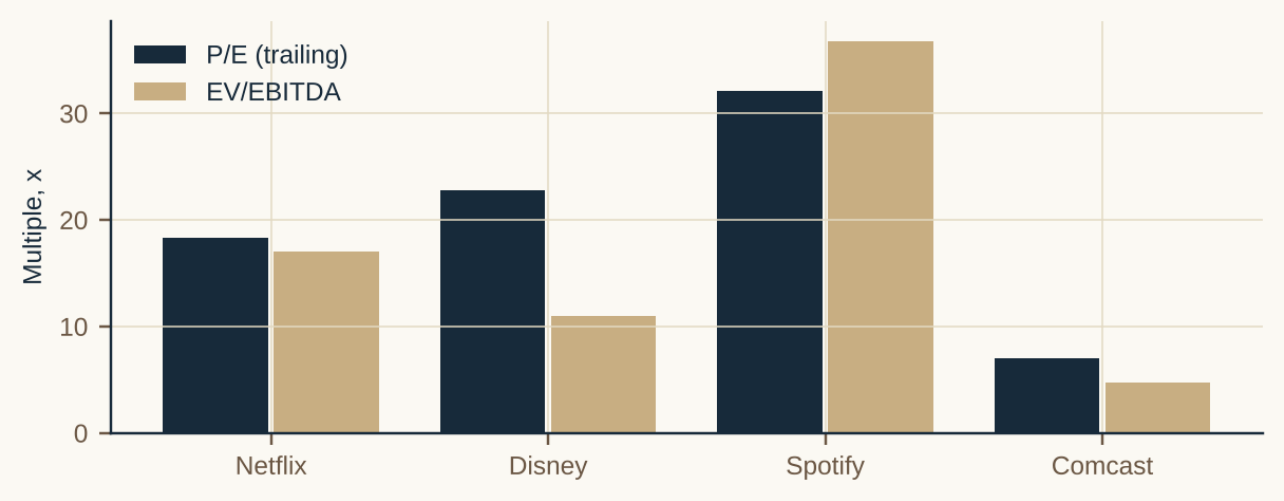
Peers were selected because they compete for the same hours of viewing, the same talent and the same advertising budgets, not only because of classification. Disney is the closest scaled subscription competitor with a large content library and streaming business. Comcast owns the Peacock service and a large broadband distribution network. Spotify is included as a subscription media platform that is moving into video and has comparable consumer subscription economics. YouTube and Amazon Prime Video are direct competitors for attention but are segments of larger groups, so their margins and multiples cannot be isolated.

COMPETITIVE COMPARISON, USD, TRAILING TWELVE MONTHS

Company	Market cap	Op. margin	EV/EBITDA	P/E	Net debt
Netflix	255 bn	31.3%	17.0x	17.9x	7.1 bn
Disney	190.6 bn	15.6%	11.0x	22.8x	40.9 bn
Spotify	120.1 bn	14.7%	36.8x	32.1x	Net cash 7.5 bn
Comcast	78.3 bn	14.7%	4.7x	7.0x	79.8 bn

Source: StockAnalysis.com statistics pages (Netflix and Comcast 27 October 2026, Disney 27 October 2026, Spotify 23 October 2026); Netflix market cap at the 30 October 2026 close of USD 62.08 times 4.11 bn shares; Netflix margin, P/E and net debt calculated from Netflix filings. Net debt for Comcast and Spotify is enterprise value less market capitalization, which includes other claims.

Valuation multiples, Netflix and selected peers



Source: StockAnalysis.com, 23 to 27 October 2026. Units: multiple of earnings and of EBITDA, times.

A5. Competitive Differences

Netflix has five advantages. First, scale: it spreads a content budget of about USD 20 bn over the largest paying audience, so the cost per viewing hour is lower than for any subscription rival; the proof is the 33.5% operating margin against 15.6% at Disney. Second, data and recommendation: viewing history across more than 190 countries tunes what is commissioned. Third, a single global product with no dependence on third party distributors for billing in most markets. Fourth, brand and habit, shown by churn improving year on year in the United States and globally according to the Q3 2026 letter. Fifth, financial capacity: USD 12 bn of annual free cash flow funds both content and USD 10.8 bn of buybacks.

The disadvantages are equally clear. Content costs are fixed and rise with competition for talent, sports and live rights. The company has limited operating history in advertising, and management cut its 2026 advertising forecast on a slower product rollout. YouTube captures twice Netflix's share of US television time at near zero content cost. The loss of the Warner Bros. transaction, for which Netflix received a USD 2.8 bn termination fee, removed a route to a larger library and means that growth must come from organic production.

Scale, brand and data are structural advantages; the current price and plan mix advantages are temporary because competitors can bundle and discount.

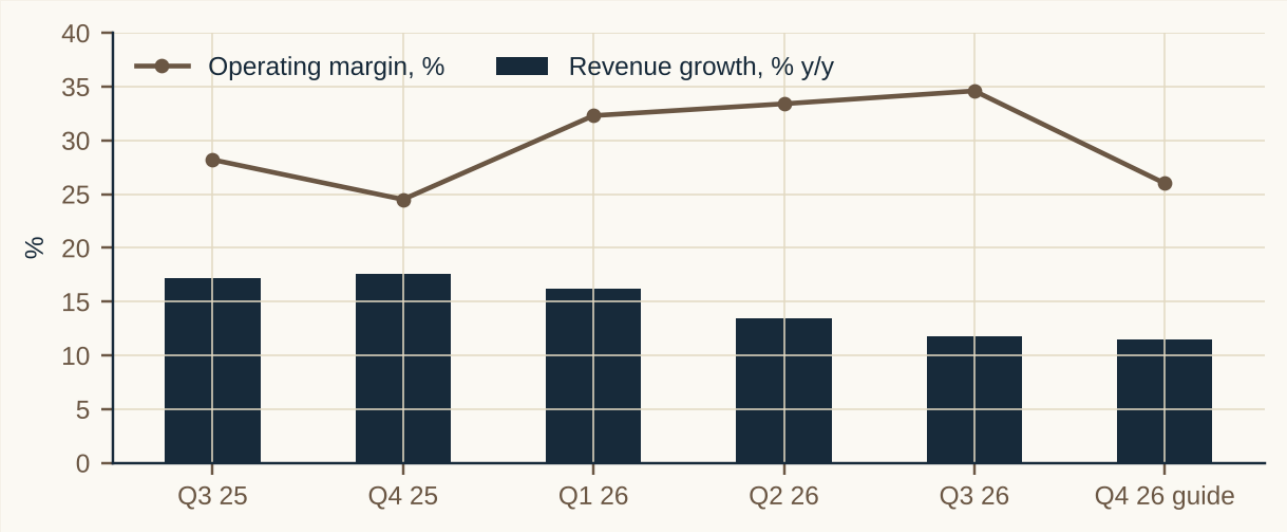
MOAT ASSESSMENT: STRONG

> Netflix shows evidence of a wide moat in scale economics, with an operating margin double that of its closest scaled competitor and returns on invested capital of about 34 to 37%. It is not rated Very Strong because switching costs for subscribers are low, a month to month cancellation is one click, and the main competitor for attention, YouTube, is free.

A6. Industry Trend

Historically the industry grew by adding subscribers; the current phase is monetization of an existing base through price, paid sharing and advertising. Netflix revenue growth was 6.5% in FY2022, 6.7% in FY2023, 15.7% in FY2024 and 15.9% in FY2025, and has since slowed each quarter: 17.2% in Q3 2025, 16.2% in Q1 2026, 13.4% in Q2 2026 and 11.8% in Q3 2026. Management guides fourth quarter growth to 11.5% and the full year to 13%.

Revenue growth and operating margin by quarter, Netflix



Source: Netflix Q3 2026 shareholder letter, Form 8-K Exhibit 99.1 (Q4 2026 is company guidance). Units: percent.

The structural trends are the shift of television time to streaming, the rise of free video platforms, and the consolidation of studio assets. The cyclical elements are advertising demand, and the timing of production slates, which explains why Q3 operating margin beat the forecast mainly because of expense timing. Trend reversal could come from a re-acceleration in price or advertising or, conversely, from a sharp fall in engagement or pricing power.

A7. Management

EXECUTIVE TEAM AND BOARD LEADERSHIP

Name	Position	Background and tenure
Ted Sarandos	Co-Chief Executive Officer; director	Co-CEO since July 2020; leads content. Age 61.
Greg Peters	Co-Chief Executive Officer; director	Co-CEO since January 2023; leads product and operations. Age 55.
Spencer Neumann	Chief Financial Officer	CFO since January 2019. Age 56.
David Hyman	General Counsel and Corporate Secretary	In role since 2001. Age 60.
Elizabeth Stone	Chief Technology Officer	In role since October 2023.
Jay Hoag	Chairman of the board	Director since 2015; chairman from June 2026 after Reed Hastings stepped down as chairman.

Source: MarketScreener governance page; Netflix Form 10-K for fiscal 2025. Prior employers and compensation detail: not retrieved.

Capital allocation has been disciplined and shareholder friendly. Buybacks rose from USD 6.0 bn in FY2023 to USD 9.1 bn in FY2025 and USD 10.8 bn in the first nine months of 2026, with USD 22.3 bn of authorization remaining. The weighted diluted share count fell from 4,340 m in Q3 2025 to 4,195 m in Q3 2026, or 3.3%. The company retains no dividend. Guidance accuracy is mixed: the 2026 revenue forecast has been maintained within about 0.2% of its prior midpoint, while the advertising forecast was cut by about 10% and free cash flow guidance by 4% (USD 12.5 bn to USD 12.0 bn). Insider ownership is 0.59%

of shares, which is low and limits direct alignment, although equity compensation of USD 368 m in FY2025 is small relative to revenue.

The main governance questions are the co-CEO structure, the change of chair in June 2026, and the decision to pursue the Warner Bros. transaction, for which the FY2025 annual report records bridge financing of up to USD 42.2 bn and a USD 5.8 bn fee payable by Netflix in certain circumstances; the fee received instead was USD 2.8 bn.

B. Evaluation

B1. Financial and Operating Metrics

Netflix reports under US GAAP in US dollars on a calendar fiscal year. Metrics below are calculated from reported statements unless stated. EBITDA is not used as a primary measure: depreciation and amortization in the financial data includes amortization of content assets (USD 16.8 bn in FY2025), which is a recurring operating cost funded by cash content spend, so EBITDA would overstate cash earnings. Operating income and free cash flow are the relevant anchors.

PROFITABILITY AND RETURNS, FISCAL YEARS ENDING 31 DECEMBER

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Gross margin	41.6%	39.4%	41.5%	46.1%	48.5%
Operating margin	20.9%	17.8%	20.6%	26.7%	29.5%
Net margin	17.2%	14.2%	16.0%	22.3%	24.3%
Diluted-basis EPS, USD (split adjusted)	1.12	1.00	1.20	1.98	2.53
Return on equity	n/a	24.5%	26.1%	38.4%	42.8%
Return on assets	n/a	9.6%	11.1%	17.0%	20.1%
Return on invested capital	n/a	17.7%	21.0%	29.8%	36.7%

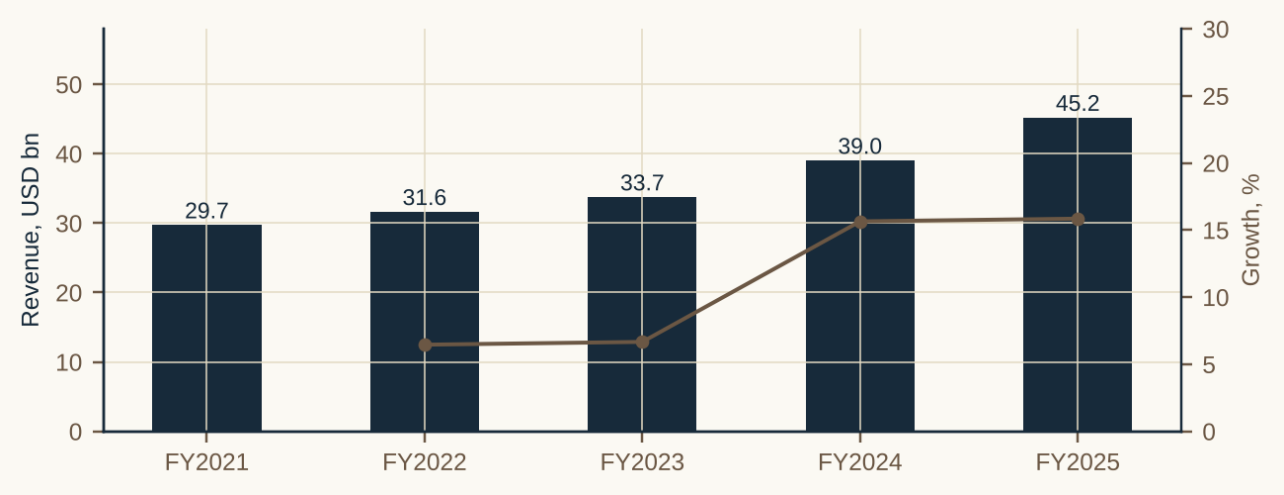
Source: Netflix annual financial statements as provided by Alpha Vantage; calculations by the analyst. EPS is net income divided by year-end shares outstanding, adjusted for the 10-for-1 split of November 2025. ROE and ROA use average balances. ROIC is operating income times one minus the effective tax rate divided by average equity plus debt less cash; tax rate of FY2023 floored at 10% because of a one-off tax benefit.

GROWTH, EFFICIENCY, LEVERAGE AND CASH FLOW

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue growth	n/a	6.5%	6.7%	15.7%	15.9%
Asset turnover	n/a	0.68x	0.69x	0.76x	0.83x
Debt to equity	0.97x	0.69x	0.82x	0.63x	0.54x
Debt to operating income	2.48x	2.55x	2.44x	1.50x	1.09x
Interest coverage (operating income)	8.1x	8.0x	9.9x	14.5x	17.2x
Free cash flow margin	-0.4%	5.1%	20.5%	17.7%	20.9%
Free cash flow to net income	-2.6%	36.0%	128.1%	79.5%	86.2%
Capital expenditure to revenue	1.8%	1.3%	1.0%	1.1%	1.5%

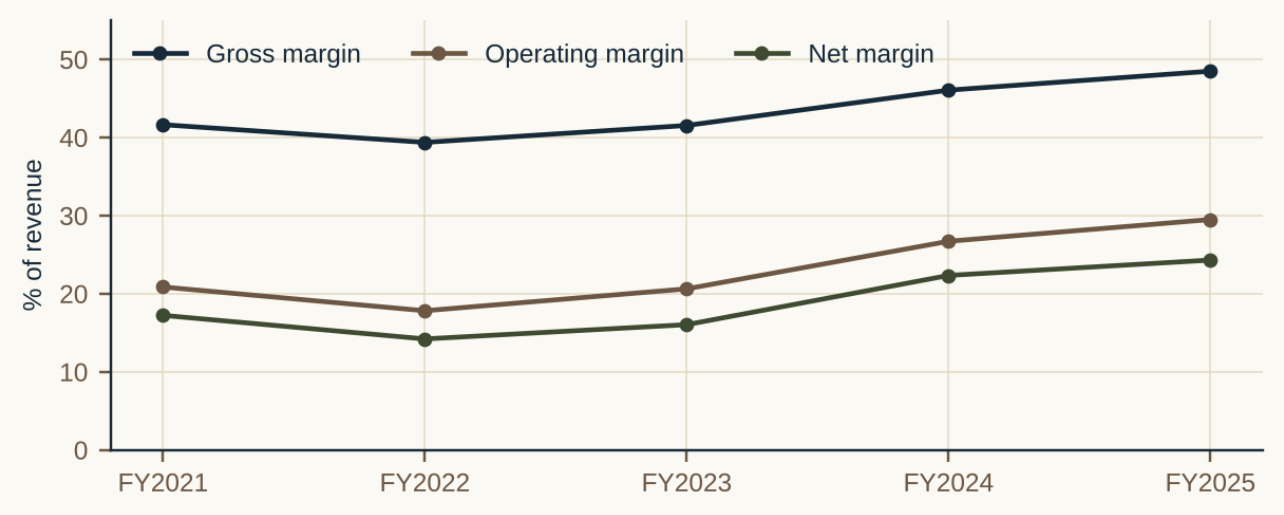
Source: Netflix annual financial statements as provided by Alpha Vantage; calculations by the analyst. Inventory and receivable turnover are not meaningful for a subscription business billed in advance. Compound annual growth FY2021 to FY2025: revenue 11.1%, operating income 21.1%, net income 21.0%, EPS 22.5%; free cash flow FY2022 to FY2025 80.1% from a low base.

Revenue and annual growth, Netflix



Source: Netflix annual financial statements (Alpha Vantage). Units: USD bn; growth in percent. Fiscal years to 31 December.

Gross, operating and net margin, Netflix



Source: Netflix annual financial statements (Alpha Vantage); calculated. Units: percent of revenue.

Operating leverage is the central feature of the numbers. Between FY2022 and FY2025 revenue rose 42.9% while operating income rose 136.6%, because cost of revenues grew 21.4% (USD 19.2 bn to USD 23.3 bn). Technology and development held near 7.5% of revenue and general and administrative costs fell from 5.0% to 4.2%. The return on invested capital of 36.7%

exceeds the cost of capital by a wide margin, but note ROE is flattered by a USD 33.2 bn treasury stock account that reduces book equity; ROIC is the cleaner measure.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Growth deceleration	High	High	Revenue growth fell from 17.2% to 11.8% in four quarters; the valuation depends on growth near 10% for years.
2	Content cost inflation and cash conversion	Medium	High	Cash content additions were 1.17 times amortization in nine months of 2026; commitments are largely fixed.
3	Attention competition from free video	High	Medium	YouTube holds twice Netflix's share of US television time and is gaining.
4	Advertising execution	Medium	Medium	2026 forecast cut from about USD 3.0 bn to USD 2.7 bn on slower product rollout.
5	Multiple compression	Medium	Medium	Shares fell 43.3% in a year; further falls follow if growth guidance weakens.
6	Labor and regulation	Medium	Medium	Guild agreements expired in 2026; local content and tax rules in Europe and Asia.
7	Technology and cybersecurity	Low	High	Dependence on Amazon Web Services and exposure to data breaches.
8	Financial and macro	Low	Low	Net debt 0.46 times operating income; FX moves of 1 to 5 points affect regional growth (EMEA 11% reported against 9% constant currency).

Source: Netflix Form 10-K for fiscal 2025 risk factors; Q3 2026 shareholder letter; analyst ranking.

The three risks most capable of permanently impairing value are growth deceleration that settles below 8% a year, content cost inflation that keeps cash conversion low, and the loss of attention share to free platforms, which together would compress both revenue growth and the margin the valuation assumes.

B3. Valuation

The valuation uses the 30 October 2026 close of USD 62.08 and 4.11 bn shares (StockAnalysis.com), so market capitalization is USD 255.1 bn and enterprise value USD 262.2 bn after adding net debt of USD 7.1 bn from the Q3 2026 letter.

VALUATION MULTIPLES AT USD 62.08, USD

Multiple	Value	Basis
Price to earnings, trailing	17.9x	Net income USD 14.8 bn, includes fee; EPS 3.46
Price to earnings excluding termination fee	about 21x	Analyst estimate: fee USD 2.8 bn taxed at 17%
Forward price to earnings	17.6x	StockAnalysis.com consensus basis, 27 October 2026
Enterprise value to operating income	16.8x	Operating income USD 15.6 bn, trailing
Enterprise value to sales	5.3x	Revenue USD 49.7 bn, trailing
Price to free cash flow	22.4x	Free cash flow USD 11.4 bn; yield 4.5%
Price to free cash flow, 2026 guidance	21.3x	Guided USD 12.0 bn
Enterprise value to EBITDA	17.0x	StockAnalysis.com definition
Price to earnings growth	about 1.2x	Forward price to earnings over a 15% EPS growth rate (analyst assumption)

Source: Netflix Q3 2026 shareholder letter, Form 8-K Exhibit 99.1; StockAnalysis.com, 27 October 2026; calculations by the analyst. Trailing equals the four quarters to 30 September 2026. Dividend yield is not applicable.

Against its own history, the stock trades at the lowest level in the weekly data window of the last year, and the trailing price to earnings ratio of 17.9 times compares with 22.8 times trailing and 14.6 times forward for Disney, whose operating margin is half that of Netflix. A historical multiple range for Netflix is not retrieved and is therefore not reported. The multiple of 17.9 times is also depressed by the fee, so on adjusted earnings the stock is close to 21 times, in line with the growth rate.

What is embedded in the price

The base DCF (section C5) values the equity at USD 65.5 per share using revenue growth falling from 11% to 7%, an operating margin rising from 32.5% to 35.0%, and free cash flow reaching 85% of after-tax operating income. The current price of USD 62.08 is consistent with revenue growth about 1.2 percentage points a year lower than this path at an unchanged discount rate, or with a discount rate of about 9.3% at the base operating path. The expectation embedded in the price is therefore reasonable: it needs growth near 10% and margin expansion of 3.5 points over five years. It would be optimistic only if growth fell below the bear path (6% compound) while margins still reached 35%.

B4. Capital Market and Stock Analysis

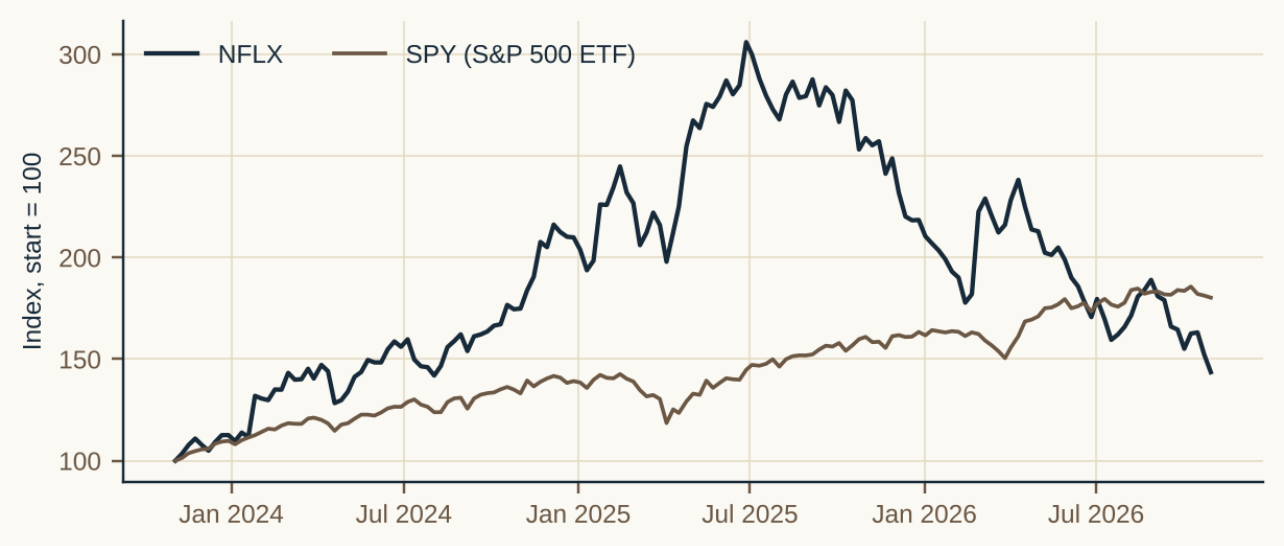
All market statistics are calculated from weekly closing prices adjusted for the 10-for-1 stock split of November 2025, compared against SPY, the S&P 500 exchange traded fund, as benchmark.

PRICE RETURNS, TO 30 OCTOBER 2026

Period	1W	1M	3M	6M	YTD	1Y	3Y	5Y
Netflix	-5.7%	-12.7%	-13.4%	-32.6%	-34.3%	-43.3%	56.0%	-10.1%
SPY	-0.6%	-2.0%	1.4%	5.4%	10.3%	12.8%	90.8%	76.0%

Source: Alpha Vantage weekly adjusted prices; calculated by the analyst. Price returns exclude dividends; neither Netflix nor SPY dividends are material to the Netflix figures. YTD base is the 2025 year-end close of USD 94.47.

Netflix against SPY, last three years, rebased to 100



Source: Alpha Vantage weekly adjusted closes, October 2023 to October 2026. Units: index, start = 100.

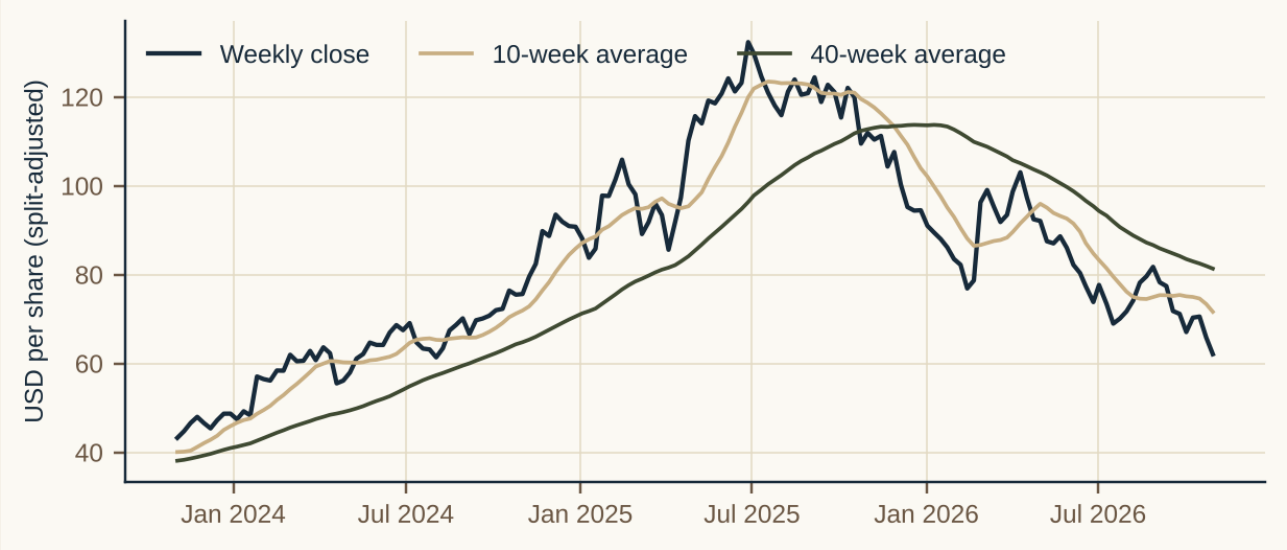
VOLATILITY AND RISK

Measure	1 year	3 years	5 years
Annualized volatility	35.5%	34.6%	43.3%
Downside volatility (annualized)	15.1%	17.1%	31.6%
Beta versus SPY	0.66	1.08	1.41
Correlation with SPY	0.22	0.44	0.53
Maximum drawdown	-44.5%	-53.1%	-74.3%

Source: Alpha Vantage weekly adjusted closes; calculated by the analyst using weekly returns annualized by the square root of 52. The five-year drawdown ran from the November 2021 high to the June 2022 low. StockAnalysis.com reports a five-year beta of 1.61 on its own method.

The stock traded between USD 62.08 and USD 111.89 in the last 52 weeks. It reached an all-time split-adjusted weekly closing high of USD 132.31 in June 2025 and has since lost 53%, the second deep drawdown after 2022, when it fell 74% peak to trough. The weekly volume of 240.7 m shares in the latest week compares with an average of 198.5 m over the last year, confirming heavy participation in the decline. The fall was concentrated after the Q1 2026 results (shares dropped about 10% on the guidance) and continued through October after the headcount reduction and the Q4 guide.

Netflix price with 10 and 40 week moving averages, last three years



Source: Alpha Vantage weekly adjusted closes, October 2023 to October 2026. Units: USD per share, split adjusted.

TECHNICAL INDICATORS, WEEKLY BASIS, 30 OCTOBER 2026

Indicator	Value	Reading
10-week average (about 50 trading days)	USD 71.61	Price 13.3% below
40-week average (about 200 trading days)	USD 81.33	Price 23.7% below; averages sloping down
Relative strength index, 14 weeks	31.6	Close to oversold threshold of 30
MACD (12, 26) against signal (9)	-5.41 against -4.91	Below signal; downward momentum
Average true range, 14 weeks	USD 8.94	14.4% of price per week
Relative return versus SPY, 1 year	-56.1 points	Persistent underperformance

Source: Alpha Vantage weekly adjusted prices; calculated by the analyst. Weekly averages approximate the 50 and 200 day averages because the daily series was not used.

The technical structure is a clear downtrend: price below both averages, momentum negative, and the close at the 52-week low. Support is not established above the low itself, and resistance sits at the former September range of USD 71 to USD 78 and the 10-week average. An RSI near 30 indicates stretched selling but is not a reversal signal in a falling trend. This reflects sentiment and positioning, and differs from the fundamental valuation: the valuation is close to the base case value while the price trend is negative, so the two disagree on timing, not on what the business earns.

C. Financial Statements

C1. Income Statement

INCOME STATEMENT SUMMARY, USD M, FISCAL YEARS ENDING 31 DECEMBER

USD m	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue	29,698	31,616	33,723	39,001	45,183
Cost of revenues	17,333	19,168	19,715	21,038	23,275
Gross profit	12,365	12,447	14,008	17,963	21,908
Technology and development	2,274	2,711	2,676	2,925	3,391
Operating income	6,195	5,633	6,954	10,418	13,327
Interest expense	766	706	700	719	777
Income tax expense (benefit)	724	772	-797	1,254	1,741
Net income	5,116	4,492	5,408	8,712	10,981

Source: Netflix annual financial statements as provided by Alpha Vantage; reported, US GAAP. Technology and development is shown as reported by the data provider under research and development.

RECENT QUARTERS AND NINE MONTHS, USD M

USD m	Q3 2025	Q2 2026	Q3 2026	9M 2025	9M 2026
Revenue	11,510	12,560	12,874	33,132	37,684
Cost of revenues	6,164	6,037	6,079	16,753	18,004
Sales and marketing	786	824	837	2,188	2,503
Technology and development	854	1,008	1,033	2,501	3,001
General and administrative	458	499	466	1,321	1,568
Operating income	3,248	4,193	4,459	10,370	12,608
Interest and other income	37	52	43	127	2,947
Net income	2,547	3,401	3,664	8,563	12,348
Diluted EPS, USD	0.59	0.80	0.87	1.97	2.90

Source: Netflix Q3 2026 shareholder letter, Form 8-K Exhibit 99.1; reported, US GAAP. Interest and other income of 9M 2026 includes the USD 2.8 bn termination fee reported in Q1 2026.

In the analyst's interpretation, growth in FY2024 and FY2025 came from price, paid sharing and advertising as well as volume; paid memberships are not reported in the Q3 2026 letter, so a price and volume split is not available (not retrieved). In Q3 2026, constant currency growth was 11% against 12% reported, so currency added about one point. Operating margin was 34.6% in Q3 2026 against 28.2% a year earlier, with operating income up 37% on 12% revenue growth. Part of that gain is timing: management said the third quarter beat its forecast mainly because of expense timing, and the fourth quarter margin is guided down to 26.0% including about 120 basis points from headcount reductions. For the full year the margin guide is 31.5% against 29.5% in 2025, so margins are expanding on a full-year basis even though the fourth quarter dips.

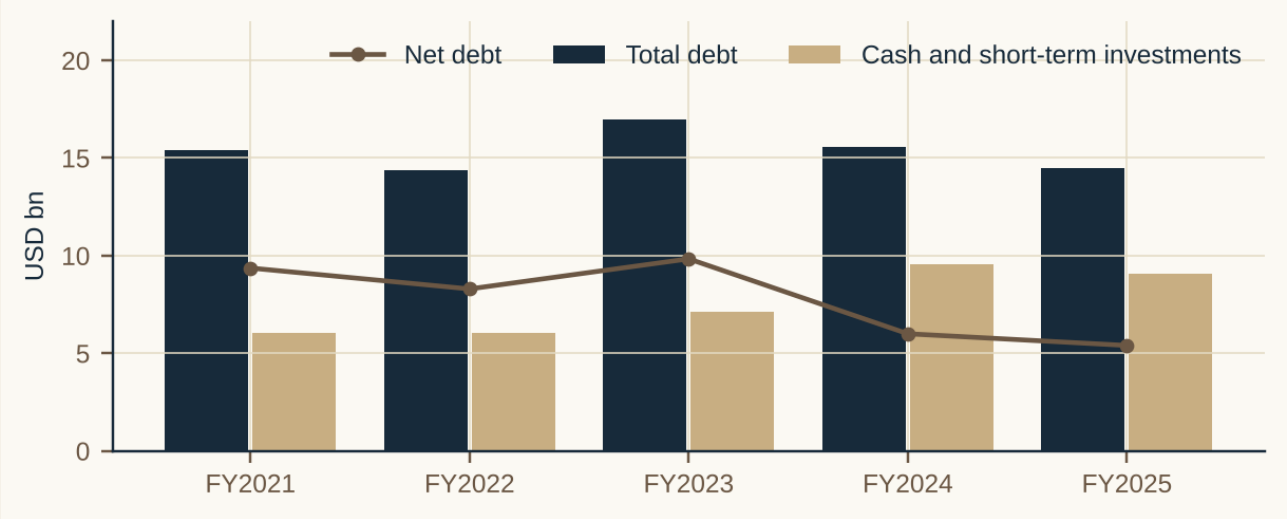
C2. Balance Sheet

BALANCE SHEET, USD M

USD m	31 Dec 2024	31 Dec 2025	30 Sep 2026
Cash and short-term investments	9,584	9,062	8,223
Content assets, net	32,452	32,778	34,606
Property and equipment, net	3,696	4,212	2,561
Total assets	53,630	55,597	58,682
Short-term debt	n/a	999	2,475
Long-term debt	13,798	13,464	12,658
Total debt	15,583	14,463	15,132
Total streaming content obligations	n/a	24,039	25,223
Treasury stock at cost	n/a	-22,373	-33,233
Total stockholders' equity	24,744	26,615	29,286
Net debt	5,999	5,401	7,114

Source: Netflix balance sheets (Alpha Vantage for 2024 and 2025; Q3 2026 shareholder letter for 30 September 2026). The letter's net debt of USD 7,114 m is used for the September date. Property and equipment for 2024 and 2025 as provided by the data vendor may include lease assets; the September 2026 figure is as reported in the letter.

Total debt, cash and net debt, Netflix



Source: Netflix annual balance sheets (Alpha Vantage). Units: USD bn. Fiscal years to 31 December.

Balance sheet strength is high. Equity is 49.9% of assets at 30 September 2026, the current ratio is 1.07 times (USD 13.2 bn of current assets against USD 12.3 bn of liabilities), and net debt of USD 7.1 bn is 0.46 times trailing operating income and 0.6 times trailing free cash flow. The cash balance fell from USD 9.0 bn to USD 8.2 bn as buybacks of USD 10.8 bn in nine months exceeded free cash flow of USD 9.5 bn, and short-term debt rose to USD 2.5 bn ahead of maturities, with a USD 1 bn bond issued in Q3 to refinance the Q4 maturity. There is no goodwill concentration: the principal asset is content, USD 34.6 bn or 59% of assets, whose recoverability depends on viewing. The main off-balance-sheet obligation is streaming content commitments that do not yet meet liability recognition and which the annual report describes as significant. Receivables stayed low relative to revenue.

C3. Cash Flow Statement

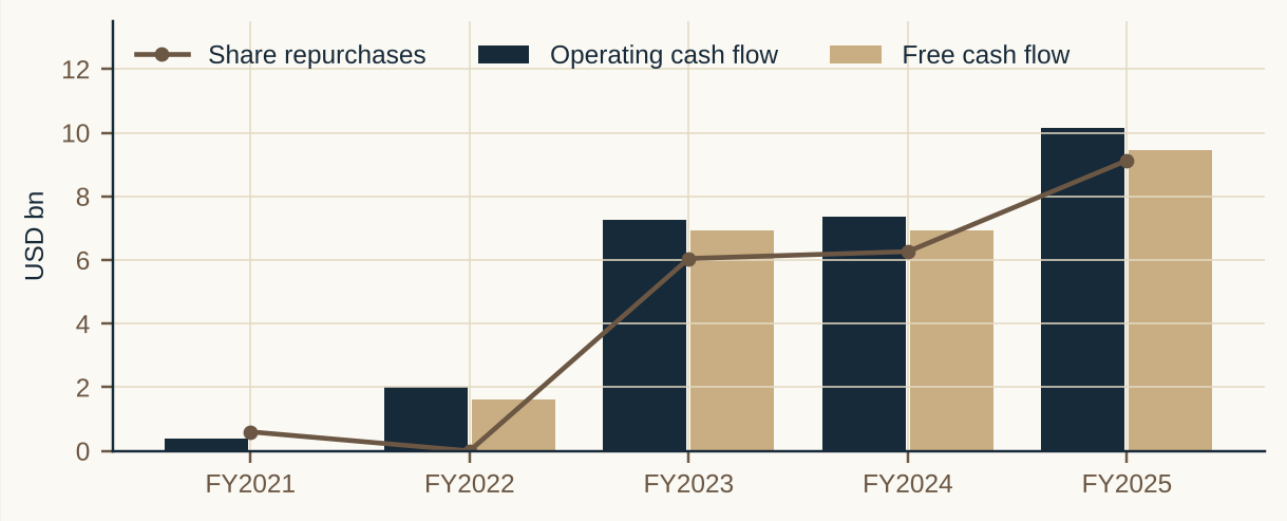
CASH FLOW, USD M

USD m	FY2022	FY2023	FY2024	FY2025	9M 2026
Operating cash flow	2,026	7,274	7,361	10,149	10,196
Capital expenditure	408	349	440	688	694
Free cash flow	1,619	6,926	6,922	9,461	9,503
Share repurchases	n/a	6,045	6,264	9,127	10,782
Acquisitions	n/a	n/a	n/a	n/a	586
Net income	4,492	5,408	8,712	10,981	12,348
Free cash flow to net income	36%	128%	79%	86%	77%

Source: Netflix cash flow statements (Alpha Vantage for FY2022 to FY2025; Q3 2026 shareholder letter for 9M 2026). Free cash flow is operating cash flow less purchases of property and equipment, as defined by the company. FY2022 repurchases were reported by the vendor as a small inflow and are shown as n/a.

Free cash flow is lower than net income in most years because Netflix pays cash for content before it amortizes it: cash additions to content assets were USD 14.9 bn in nine months of 2026 against amortization of USD 12.8 bn. Net income does not equal cash generation. In FY2021 free cash flow was negative USD 0.1 bn on net income of USD 5.1 bn, and the cash conversion has risen to 86% in FY2025 as the content spend normalized. Free cash flow of USD 9.5 bn in nine months of 2026 includes the fee received in the first quarter, whose cash effect is roughly USD 2.3 bn after tax (analyst estimate). On this basis, underlying nine-month free cash flow is about USD 7.2 bn, slightly below the prior year's USD 7.6 bn. Capital expenditure rose 55% to USD 694 m in the nine months, and the guided 2026 free cash flow includes a pending real estate transaction expected to close in the fourth quarter.

Operating cash flow, free cash flow and share repurchases, Netflix



Source: Netflix annual cash flow statements (Alpha Vantage). Units: USD bn. Fiscal years to 31 December.

C4. Forecasting and Projections

The forecast starts from the company's FY2026 guidance (revenue USD 51.1 bn, operating margin 31.5%, free cash flow about USD 12.0 bn) and extends to 2031. Revenue growth fades from 11% to 7% because the base of subscribers is mature in the United States and Canada, advertising and emerging markets add growth but at lower average revenue per member. The operating margin rises 0.5 to 1.0 point a year, helped by fixed content costs and the 2026 headcount reductions. Free cash flow conversion of after-tax operating income rises from 72% to 85% as cash content spend moves toward amortization (guided at 1.1 times in 2026). Capital expenditure is held near 1.5% of revenue. The tax rate used is 16%, compared with 13.7% in FY2025.

BASE CASE PROJECTION, USD M

USD m	2027E	2028E	2029E	2030E	2031E
Revenue growth	11.0%	10.0%	9.0%	8.0%	7.0%
Revenue	56,721	62,393	68,009	73,449	78,591
Operating margin	32.5%	33.5%	34.0%	34.5%	35.0%
Operating income	18,434	20,902	23,123	25,340	27,507
After-tax operating income	15,485	17,557	19,423	21,286	23,106
Free cash flow conversion	72%	76%	80%	83%	85%
Free cash flow	11,149	13,344	15,539	17,667	19,640

Source: analyst estimates. The base year 2026 uses company guidance of USD 51.1 bn revenue.

SCENARIO SUMMARY

Item	Bear	Base	Bull
Revenue growth, 2027 to 2031	8% to 4%	11% to 7%	13% to 9.5%
Revenue CAGR 2026 to 2031	6.0%	9.0%	11.4%
Operating margin 2031	30.0%	35.0%	38.5%
Revenue 2031, USD bn	68.4	78.6	87.6
Free cash flow 2031, USD bn	13.4	19.6	24.9
WACC and terminal growth	9.5% and 2.5%	9.0% and 3.0%	8.5% and 3.5%
Value per share, USD	39.0	65.5	98.4

Source: analyst estimates and calculations. These are scenario outputs, not forecasts of the share price.

C5. Discounted Cash Flow (DCF) Model

The DCF discounts free cash flow to the firm at a weighted average cost of capital of 9.0% in the base case, with 3.0% perpetual growth, from the valuation date of 30 October 2026. The fourth-quarter 2026 free cash flow of USD 2.5 bn (the guided USD 12.0 bn full year less USD 9.5 bn already generated) is included at its present value. Net debt of USD 7.1 bn is deducted, and 4.11 bn shares are used. The terminal value is USD 337 bn in 2031, with a present value of USD 216 bn, or 78% of the base enterprise value of USD 276 bn. A terminal share this high shows that the result depends on long-run assumptions, so the output should be read as a range of USD 39 to USD 98, with the base case at USD 65.5, not as a point estimate.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE, USD

WACC	2.0%	2.5%	3.0%	3.5%	4.0%
8.0%	68.0	73.2	79.5	87.2	96.8
8.5%	62.3	66.7	71.9	78.0	85.6
9.0%	57.5	61.2	65.5	70.5	76.6
9.5%	53.4	56.5	60.1	64.3	69.3
10.0%	49.8	52.4	55.5	59.0	63.1

Source: analyst calculations. Base case operating path with only WACC and terminal growth varied.

SENSITIVITY: CHANGE IN ANNUAL REVENUE GROWTH (ROWS) AGAINST CHANGE IN OPERATING MARGIN (COLUMNS), VALUE PER SHARE, USD

Growth change	-3.0 pts	-1.5 pts	Base	+1.5 pts	+3.0 pts
-3.0 pts	52.4	55.0	57.5	60.0	62.6
-1.5 pts	56.0	58.7	61.4	64.1	66.8
Base	59.7	62.6	65.5	68.4	71.2
+1.5 pts	63.7	66.8	69.8	72.9	75.9
+3.0 pts	67.9	71.1	74.4	77.6	80.9

Source: analyst calculations at 9.0% WACC and 3.0% terminal growth. Margin changes apply to every year 2027 to 2031.

The WACC of 9.0% is an analyst assumption consistent with a beta between 1.0 and 1.4 and low leverage. The tax rate is 16%, working-capital needs are captured in the conversion ratio, and capital expenditure is within it.

C6. Leveraged Buyout (LBO) Model

Not applicable. With an equity value of about USD 255 bn and an enterprise value of USD 262 bn, no sponsor could assemble the equity and debt required for a leveraged buyout, and the stable-margin cash flows do not offset the size of the transaction.

D. Investment Thesis

Bull Case

Revenue growth stabilizes near 13% in 2027 because advertising scales faster than the current USD 2.7 bn run rate, price increases hold, and emerging markets such as India (view hours up 24%) add subscribers. Operating margin reaches 38.5% by 2031 as content spending grows more slowly than revenue and headcount savings stay in the cost base. Free cash flow reaches USD 24.9 bn in 2031, buybacks continue at a high rate and shrink the share count, and the market pays for a lower discount rate. The scenario value is USD 98 per share, about 59% above the current price.

Bear Case

Growth falls to 8% and then 4% as saturation in mature regions and YouTube take engagement, advertising stays below USD 3 bn, and content inflation (sports and live events) keeps the cash content ratio above 1.1 times, holding the operating margin at 30%. Free cash flow reaches only USD 13.4 bn in 2031, and a higher discount rate of 9.5% applies. The scenario value is USD 39 per share, about 37% below the current price. Debt is not a problem in this case: net debt stays below 1 times operating income.

Base Case

Growth fades from 11% to 7% over five years, the operating margin reaches 35%, and free cash flow reaches USD 19.6 bn in 2031. Buybacks continue at about USD 10 to 15 bn a year, funded by free cash flow and modest debt. The value is USD 65.5 per share, 5.5% above the 30 October close, which is within the error of the model.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Fourth quarter and full-year 2026 results	January 2027 (date to be confirmed by the company)	First test of the 26.0% margin guide and 2027 guidance.
Real estate transaction	Expected Q4 2026	Included in USD 12.0 bn free cash flow guidance.
Advertising product rollout	Through 2027	Determines whether the ad forecast recovers from USD 2.7 bn.
Share repurchases	Ongoing	USD 22.3 bn of authorization; record USD 4.8 bn in Q3.
Guild and live event costs	2027	Cost of content and risk of disruption.
Pricing actions	2027	Price changes supported revenue growth in prior years.

Source: Netflix Q3 2026 shareholder letter; Form 10-K for fiscal 2025; analyst assessment.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Revenue growth, reported and constant currency	Drives the valuation	Stabilizes at 11% or more	Falls below 10%
Operating margin	Operating leverage test	Full year 31.5% or more	Below 30%
Cash content to amortization	Cash conversion	1.0 to 1.1 times	Above 1.2 times
Advertising revenue	Next growth engine	Back toward USD 3 bn run rate	Further cuts
Free cash flow	Funds buybacks	USD 12 bn or more	Below USD 11 bn
Net debt to operating income	Balance-sheet capacity	Below 0.5 times	Above 1 time
Nielsen share of TV time	Competitive position	Netflix share holds near 7.5%	Falls while YouTube rises

E. Final Investment Framework

BUSINESS QUALITY	High. A single-segment model with 48.5% gross margin in FY2025 and recurring monthly revenue.
FINANCIAL QUALITY	High. FCF equals 86% of net income, interest cover is 17 times, and net debt is 0.46 times operating income.
COMPETITIVE POSITION	Strong. The largest paid streaming scale, but free video holds more share of attention.
MANAGEMENT	Capable and shareholder friendly. Disciplined buybacks of USD 10.8 bn in nine months; mixed guidance record on advertising; low insider ownership of 0.6%.
INDUSTRY	Mature at the top with consolidation; growth shifting to advertising and emerging markets.
VALUATION	Reasonable. The price is within 6% of the base DCF, with a range of USD 39 to USD 98.
TECHNICAL AND MARKET STRUCTURE	Weak. Downtrend, below both averages, RSI 31.6, at the 52-week low.
PRINCIPAL RISK	Revenue growth settling below 8% a year while content costs stay fixed.
PRINCIPAL CATALYST	Fourth quarter results and 2027 guidance in January 2027.
KEY VARIABLE	Revenue growth over 2027 to 2029, which moves the DCF value by about USD 4 per share for each 1.5 point change.
THESIS INVALIDATION	The investment thesis would become materially weaker if reported revenue growth falls below 8% for two consecutive quarters, if the operating margin for a full year is below 30%, or if the cash content to amortization ratio stays above 1.2 times for four quarters.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalization	USD 255 bn	Not retrieved	Not retrieved
Market	Enterprise value	USD 262 bn	Not retrieved	Not retrieved
Market	Share price	USD 62.08	USD 111.89	3Y +56.0%; 5Y -10.1%
Growth	Revenue growth	11.8% (Q3 y/y)	15.9% (FY2025)	FY21 to FY25 CAGR 11.1%
Profitability	Gross margin	52.2% (9M 2026)	48.5% (FY2025)	FY21 41.6%
Profitability	Operating margin	31.3% (TTM)	29.5% (FY2025)	FY21 20.9%
Profitability	Net margin	29.7% (TTM, incl. fee)	24.3% (FY2025)	FY21 17.2%
Profitability	ROE	53.5% (source)	42.8% (FY2025)	FY22 24.5%
Profitability	ROIC	34.1% (source)	36.7% (FY2025)	FY22 17.7%
Cash flow	Operating cash flow	USD 12.3 bn (TTM)	USD 10.1 bn (FY2025)	FY22 USD 2.0 bn
Cash flow	Free cash flow	USD 11.4 bn (TTM)	USD 9.5 bn (FY2025)	FY22 USD 1.6 bn
Leverage	Net debt / operating income	0.46x	0.41x (FY2025)	FY21 1.51x
Valuation	P/E	17.9x	Not retrieved	Not retrieved
Valuation	EV/EBITDA	17.0x (source)	Not retrieved	Not retrieved
Valuation	P/FCF	22.4x	Not retrieved	Not retrieved
Market	Beta (5Y, weekly vs SPY)	1.41 (source: 1.61)	3Y 1.08	1Y 0.66
Market	Volatility (annualized)	35.5% (1Y)	3Y 34.6%	5Y 43.3%
Market	Maximum drawdown	-44.5% (1Y)	3Y -53.1%	5Y -74.3%

TTM is the four quarters to 30 September 2026. ROE and ROIC labelled source are from StockAnalysis.com, 27 October 2026; others are calculated. Source gross margin is the nine months to 30 September 2026. Net debt to EBITDA is replaced by net debt to operating income because EBITDA for Netflix includes content amortization.

G. Sources and Methodology

Data cross-check

Financial statements for FY2021 to FY2025 came from the vendor data and were reconciled to the company's own filings where possible: FY2025 operating cash flow of USD 10,149 m and net income of USD 10,981 m match, and the Q3 2026 figures come directly from the company's shareholder letter. The two sources differ in share count: the vendor balance sheet reports 4,344 m shares at the end of 2025, the Form 10-K cover reports 4,222 m at the same date, and the market data provider reports 4.11 bn now. The latest figure of 4.11 bn is used for market capitalization, and 4,195 m diluted shares for EPS. Beta differs by method (1.41 calculated on weekly returns over five years against 1.61 on the provider's method). Where the company and a press report differ (for example the size of the Warner Bros. transaction was quoted at two values in a press article), the company filing is preferred and the press figure is not used. The daily price series was not available and weekly closes are used for the statistics.

Source list

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Market Data

Alpha Vantage, Weekly adjusted time series for NFLX and SPY; annual income statement, balance sheet and cash flow. Data to 30 October 2026. `https://www.alphavantage.co/documentation/`. Information obtained: Closing prices, volume, split adjustment, fiscal year financial statements FY2021 to FY2025

Calculations

Calculated by the analyst from the sources above: margins, growth rates and compound growth, ROE, ROA, ROIC, leverage ratios, free cash flow, trailing twelve-month totals (Q4 2025 plus nine months of 2026), valuation multiples, price returns, volatility, beta, drawdowns, moving averages, RSI, MACD, ATR, the DCF and scenarios. Estimated or assumed items are the termination fee after tax, the fee-adjusted P/E, WACC, terminal growth, margins, conversion ratios and all projections.

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